

Appendix 3: Contract Principles

These contract principles are issued to support the Speech to Text (StT) procurement. They are intended to confirm early alignment and identify any material commercial or contractual risks prior to progressing to the next stage of procurement activity.

Respondents must address these contract principles at a high level in the ROI Response Form (Contract Principles response section of Appendix 1, section 2.3, point 7). Detailed redlining is not required at the ROI stage; however, respondents must clearly identify any principles that are materially challenging (including any potential showstoppers), briefly indicate their reasoning and preferred position.

For the avoidance of doubt, the key principles do not make up all the terms that the Ministry may require in the Master Service Agreement (MSA), Statement of Work (SOW) or a Service Agreement (SA) but reflect the terms that the Ministry expects to operate under and that might have a material impact on the MSA, SOW or a SA. The terms may need to vary to better reflect the relationship that should be in place once the nature of the service, who is to provide it and how is better understood.

1. Indicative contract structure

- The Ministry requires an overarching Master Services Agreement that sets the core legal/commercial terms.
- One or more SOWs will describe any discrete activities (e.g., discovery, onboarding, implementation and integration) including deliverables, timelines and acceptance.
- An ongoing Service Agreement will set the operational support model (including SLAs/service levels, maintenance and reporting).
- Any SaaS/Subscription terms (licensing/hosting) will sit alongside and be consistent with the Master Services Agreement, and a clear order of precedence will be included in the Master Services Agreement.
- Pilot activities (if any) will be governed by a short-form (Government Model Contract or similar) agreement covering confidentiality, data handling, permitted uses, return/deletion of data, and ownership of outputs.

2. Term and renewals

- The contract term will be an initial term of 2 years with extension options exercisable at the Ministry's discretion (up to a maximum anticipated term of 10 years), subject to satisfactory performance of the Supplier and ongoing value for money.

3. Scope and outcomes

- The Supplier will provide a managed, cloud-based Speech to Text service that supports the Ministry's outcomes: timely and usable draft transcripts, consistent quality supported by a human-in-the-loop operating model, reduced manual effort, and scalability over time.
- The Ministry will retain responsibility for final transcripts and final editorial decisions.
- The solution is expected to be configurable and extensible, with a strong preference for out-of-the-box capability and avoidance of bespoke build.

4. Service model (managed cloud service)

- The service is delivered and supported as a managed, cloud-based service with clear end-to-end service accountability.
- The contract will allocate clear operational responsibilities, including that the supplier will operate, maintain, patch and update the service (subject to agreed maintenance windows and change control).
- The solution needs to support integration with the Ministry environment, including identity (Microsoft Entra ID / Active Directory), Tuhi workflow, and the audio/transcript storage repository (shared drive and/or SharePoint), using modern and secure integration patterns.

5. Accuracy, quality, and language support

- The contract will include measurable service levels (e.g. processing speeds, availability, incident response/resolution, turnaround times where applicable, support hours, and service reporting).
- Remedies for service level failures will be proportionate and may include service credits and escalation, without limiting other rights where failures are material or persistent.
- The supplier must be transparent about expected accuracy limitations and confidence indicators and how draft outputs are intended to be used within a human-in-the-loop model.
- Where performance metrics are used (e.g., word/character error rate), the contract will define how they are measured (test sets, environments, timeframes) and how the results will inform service improvement.

6. Information security and privacy

- The contract will require security and privacy controls appropriate for a regulated justice environment, including access controls, audit logging, encryption in transit and at rest, vulnerability management, and secure Software Development Life Cycle (SDLC) practices where applicable.
- The contract will include prompt notification and cooperation obligations for security and privacy incidents (including investigation, containment and remediation).

7. Intellectual Property, data ownership, use, and restrictions

- Any rights in information provided by the Ministry (including court information and supported agencies) will not transfer to the supplier (including audio, transcripts, derivative works and metadata).
- The supplier's use of data will be restricted to what is necessary to deliver and support the service and not used for unrelated purposes (including model training) without explicit written agreement.
- Any access to audio/transcripts (including for support, quality assurance, or service improvement) must be tightly controlled and limited to what is strictly necessary, with Ministry-approved access controls, locations/jurisdictions, and logging.
- It is anticipated that the supplier will retain IP in its pre-existing products and services. The Ministry will receive sufficient rights (licences) to use the service and outputs for its operational purposes. Any bespoke deliverables created specifically for the Ministry (if any) will have clearly defined ownership/licensing and reuse rights.

8. Confidentiality

- The contract will include appropriate protections for confidential information (including operational, security, and justice-sector sensitive information) and require confidentiality obligations to flow down to personnel and subcontractors.

- Confidentiality obligations must allow the Ministry to disclose information where required by law, including under the Official Information Act 1982, subject to any applicable consultation requirements.
9. **Audit and assurance**
 - The supplier will support reasonable audit and assurance activities relevant to the services, including providing evidence of security controls, access to audit reports/certifications where available, and cooperation with Ministry assurance processes.
 10. **Subcontracting and third parties**
 - Subcontracting may be permitted by agreement with transparency and accountability, with the supplier remaining responsible for subcontractors.
 - The contract will require the supplier to disclose to the Ministry material subcontractors (including any cloud hosting providers) and flow-down obligations (security, privacy, confidentiality, audit, and data handling).
 11. **Change control**
 - The contract will include a clear change control process for functional changes, integrations, service changes, and commercial changes.
 - The Ministry must be notified in advance of material service changes that may affect operations, security, or performance.
 12. **Pricing principles and cost control**
 - Pricing must be transparent, with clearly stated assumptions, and structured to support predictable costs at scale (e.g., defined pricing model, volume tiers, and any indexing approach).
 - Respondents must clearly identify any pass-through costs and any conditions under which prices may change.
 13. **Transition, exit, and data portability**
 - The contract will include practical exit and transition assistance obligations, including return/export of data in usable formats and support for cutover to an alternative service.
 - Exit provisions should avoid lock-in and support continuity of operations.
 14. **Business continuity and disaster recovery**
 - The supplier will maintain and test business continuity and disaster recovery arrangements appropriate to the service criticality and provide summary evidence to the Ministry on request.
 15. **Risk allocation and liability**
 - Liability terms are expected to be proportionate to the nature of the service and the sensitivity of the data, with appropriate protections for key risk areas (including privacy/security breaches, wilful misconduct, and infringement), supported by the indemnity position set out below.
 - The Ministry cannot provide indemnities to the supplier (including under standard SaaS terms). The contract will include supplier indemnities for third-party claims arising from IP infringement and the supplier's breach of confidentiality, privacy, or security obligations,

together with appropriate remedies (e.g., defend/settle claims, replace/modify infringing items, or refund/terminate where remediation is not feasible).

- The supplier will maintain relevant insurance coverage appropriate for delivering the services.

16. Governance and continuous improvement

- The parties will operate a defined governance model (service reviews, performance reporting, roadmap discussion, risk/issue management).
- The supplier will support continuous improvement aligned to evolving technology and Ministry needs, while avoiding unnecessary bespoke development.

17. Compliance with law and policy

- The contract will require the supplier to comply with all applicable laws and relevant government procurement and assurance expectations as they apply to contract performance (including privacy and records/retention obligations to the extent applicable to the service).

18. Acceptance, testing, and assurance evidence

- Deliverables will be subject to documented acceptance criteria and an acceptance process by the Ministry before they are treated as accepted by the Ministry.
- Testing responsibilities and required environments/data will be agreed and allocated between the parties, including integration and security/privacy testing where relevant.
- Where acceptance is not met, the supplier will remediate issues within agreed timeframes and support re-testing.

19. Milestones, delivery and payment

- Where there is implementation work, payments will align to delivery milestones and/or acceptance (not solely effort expended).
- The SOW may include reasonable mechanisms to manage delivery risk (e.g., evidence-based invoicing and, if appropriate, limited holdbacks linked to stabilisation outcomes).
- Invoices must reference the relevant milestone/deliverable and include appropriate evidence of completion.
- Where time is critical, the parties will agree an approach to managing supplier-caused delays (e.g., remediation plan and escalation).

20. Warranty and stabilisation (hypercare)

- Following go-live, the supplier will provide an agreed warranty/stabilisation period to address implementation-related defects and issues at no additional charge.
- A defined hypercare window may apply immediately after go-live, with appropriate monitoring, triage and escalation arrangements.
- Warranty/stabilisation obligations will be separate from (and not replaced by) service credits under the ongoing Service Agreement.

21. Support model, service levels, and service credits

- The Service Agreement will clearly define support scope (e.g., L1/L2/L3 responsibilities), incident categories/priorities, response and restoration/resolution targets, and support hours (including 24/7 for critical incidents where required).

- The support model must integrate with the Ministry's support arrangements (including the Ministry's contracted first level support and internal second level support), with clear escalation to supplier support.
- Planned maintenance and outages must be notified to the Ministry in advance and scheduled to minimise operational impact, with Ministry approval required where the impact is material.
- Service credits may apply for failure to meet availability and/or service levels but will not be the sole and exclusive remedy where failures are material or persistent.
- The supplier will provide regular service reporting (e.g., monthly) to the Ministry covering availability, incident performance, problem management, and corrective/preventative actions.

22. AI/automation and restrictions on training or reuse

- If the supplier uses AI/automation to deliver the Services, it must be transparent with the Ministry about where and how it is used and ensure appropriate human oversight where outputs may affect operational decisions.
- Data (including content, metadata and logs) must not be used to train, fine-tune, or improve the supplier's or any third party's models except with the Ministry's prior written consent and documented safeguards.
- Any supplier-proposed use of anonymised/aggregated usage analytics must be clearly defined by the supplier, must not re-identify the Ministry, Court or individuals, and must be subject to Ministry approval before being used.

23. Termination, suspension, and transition assistance

- Termination rights will reflect the risk profile of the Services, including termination for cause, and Ministry termination for convenience on notice.
- If Services are prepaid (e.g., subscription fees), the Ministry will be entitled to a pro-rata refund of unused prepaid fees on termination for supplier breach, insolvency, prolonged force majeure, or other agreed trigger events.
- The supplier will provide reasonable transition assistance on termination/expiry to support continuity and handover to the Ministry or an alternative supplier, at agreed rates where applicable.

24. Dispute resolution and governing law

- Disputes will be managed through an agreed escalation pathway (operational to executive), with good-faith efforts to resolve before formal proceedings.
- The contract must be governed by New Zealand law and disputes subject to New Zealand jurisdiction.

25. Records, audit logging, and retention

- Where the services create or store records, the supplier must support all recordkeeping and retention obligations as applicable (such as the Public Records Act 2005), including export of records and relevant metadata.
- Audit logs must be protected from tampering and made available to the Ministry for security, assurance, and investigation purposes on request.